MCQS

MGT101 midterm preparation file

ZB

بسم الله الرحمن الرحيم

In the name of God , Most Gracious, Most merciful

MGT101

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1. Which of the following is the main purpose of financial accounting?

A) To determine future costs

B) To provide financial information to external users

C) To aid in management decision-making

D) To calculate tax liabilities

Answer: B

2. The accounting equation is represented as:

A) Assets = Liabilities - Equity

B) Assets = Liabilities + Equity

C) Liabilities = Assets - Equity

D) Equity = Assets + Liabilities

Answer: B

3. Which financial statement shows a company's financial position at a specific point in time?

A) Income Statement

B) Cash Flow Statement

C) Balance Sheet

D) Statement of Retained Earnings

Answer: C

4. What is the primary objective of an income statement?

A) To show cash inflows and outflows

B) To calculate net income or loss

C) To display the company's assets

D) To present changes in equity

Answer: B

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5. Which principle requires recording expenses in the same period as the related revenues?

A) Revenue Recognition Principle

B) Matching Principle

C) Cost Principle

D) Full Disclosure Principle

Answer: B

6. Which account type increases with a credit?

A) Assets

B) Expenses

C) Liabilities

D) Withdrawals

Answer: C

7. The owner's equity section of the balance sheet includes:

A) Notes Payable

B) Retained Earnings

C) Accounts Receivable

D) Prepaid Expenses

Answer: B

8. Which of the following is considered a current asset?

A) Equipment

B) Accounts Receivable

C) Goodwill

D) Long-term Investments

Answer: B

9. A journal entry that involves more than two accounts is called a:

A) Simple Entry

B) Compound Entry

C) Complex Entry

D) Adjusting Entry

Answer: B

10. Revenue is recognized when:

A) Cash is received

B) The service is performed or goods are delivered

C) The customer places an order

D) The invoice is sent

Answer: B

11. The account used to record amounts owed by customers is:

A) Accounts Payable

B) Accounts Receivable

C) Unearned Revenue

D) Retained Earnings

Answer: B

12. Which of the following is an example of a liability account?

A) Cash

B) Unearned Revenue

C) Equipment

D) Revenue

Answer: B

13. A prepaid expense is classified as a(n):

A) Expense

B) Revenue

C) Liability

D) Asset

Answer: D

14. The trial balance is prepared to:

A) Record transactions

B) Summarize account balances

C) Verify the equality of debits and credits

D) Analyze financial performance

Answer: C

15. Which of the following accounts normally has a debit balance?

A) Revenue

B) Liabilities

C) Assets

D) Retained Earnings

Answer: C

16. What type of account is unearned revenue?

A) Asset

B) Liability

C) Equity

D) Expense

Answer: B

17. The accounting cycle begins with:

A) Preparing the trial balance

B) Journalizing transactions

C) Posting to the ledger

D) Preparing financial statements

Answer: B

18. Which of the following is not a financial statement?

A) Trial Balance

B) Income Statement

C) Cash Flow Statement

D) Statement of Financial Position

Answer: A

19. Depreciation is recorded as:

A) An asset

B) A liability

C) An expense

D) Revenue

Answer: C

20. The double-entry system of accounting requires:

A) Recording transactions in pairs

B) An equal number of debits and credits

C) Both A and B

D) Neither A nor B

Answer: C

21. Which of the following is an intangible asset?

A) Building

B) Trademark

C) Inventory

D) Cash

Answer: B

22. The process of transferring journal entry amounts to ledger accounts is known as:

A) Journalizing

B) Posting

C) Balancing

D) Adjusting

Answer: B

23. Accrued expenses are:

A) Paid and recorded

B) Incurred but not yet paid

C) Recorded in advance

D) Always non-current liabilities

Answer: B

24. The financial statement that shows changes in equity is called:

A) Income Statement

B) Balance Sheet

C) Statement of Retained Earnings

D) Cash Flow Statement

Answer: C

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25. What is the normal balance of a liability account?

A) Debit

B) Credit

C) Either debit or credit

D) None of the above

Answer: B

26. A company's net income is determined by:

A) Revenue - Expenses

B) Assets - Liabilities

C) Equity - Dividends

D) Liabilities - Equity

Answer: A

27. The cash basis of accounting records revenue when:

A) Revenue is earned

B) Cash is received

C) An invoice is issued

D) A customer places an order

Answer: B

28. What type of account is accumulated depreciation?

A) Asset

B) Liability

C) Contra Asset

D) Revenue

Answer: C

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29. Which account is closed at the end of an accounting period?

A) Retained Earnings

B) Revenue

C) Equipment

D) Accounts Receivable

Answer: B

30. Which principle ensures that financial statements are free from bias?

A) Matching Principle

B) Objectivity Principle

C) Full Disclosure Principle

D) Conservatism Principle

Answer: B

31. The statement of cash flows includes activities related to:

A) Operating, investing, and financing

B) Current and non-current assets

C) Revenue and expenses

D) Owner's equity

Answer: A

32. Adjusting entries are made:

A) At the end of the accounting period

B) After the trial balance is prepared

C) To ensure revenue and expense recognition

D) All of the above

Answer: D

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33. Which of the following accounts is not closed at the end of the accounting period?
A) Revenue
B) Expenses
C) Dividends
D) Assets
Answer: D

34. Which principle states that expenses should be recorded in the same period as the revenues they help generate?
A) Consistency Principle
B) Matching Principle
C) Cost Principle
D) Realization Principle
Answer: B

35. What is the purpose of a post-closing trial balance?
A) To prepare for the next accounting period
B) To verify the equality of debits and credits after closing entries
C) To record adjusting entries
D) To identify errors in financial statements
Answer: B

36. What is a ledger?
A) A book of original entries
B) A detailed record of individual accounts
C) A summary of all trial balances
D) A financial statement
Answer: B

37. Which financial statement shows a company's liquidity?
A) Income Statement
B) Cash Flow Statement
C) Balance Sheet
D) Statement of Retained Earnings
Answer: C

38. Which type of account is sales revenue?
A) Asset
B) Liability
C) Equity
D) Revenue
Answer: D

39. Which of the following is an example of a deferred expense?
A) Prepaid Insurance
B) Accounts Payable
C) Unearned Revenue
D) Accrued Salaries
Answer: A

40. Which account is considered a contra-revenue account?
A) Retained Earnings
B) Sales Discounts
C) Cost of Goods Sold
D) Accounts Payable
Answer: B

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41. What is the effect of a debit on an asset account?

A) Increases the account

B) Decreases the account

C) Has no effect

D) Reduces equity

Answer: A

42. Unearned revenue is initially recorded as a:

A) Revenue

B) Liability

C) Expense

D) Contra Account

Answer: B

43. What does the accrual basis of accounting require?

A) Record transactions only when cash is exchanged

B) Record revenue when earned and expenses when incurred

C) Record revenue only when cash is received

D) Record expenses when cash is paid

Answer: B

44. Which of the following is a temporary account?

A) Equipment

B) Rent Expense

C) Retained Earnings

D) Notes Payable

Answer: B

45. What type of balance does the capital account normally have?
A) Debit
B) Credit
C) Either Debit or Credit
D) Zero
Answer: B

46. What is the purpose of adjusting entries?
A) To correct errors in financial statements
B) To update accounts before preparing financial statements
C) To close temporary accounts
D) To record cash transactions
Answer: B

47. Which of the following is not part of stockholders' equity?
A) Retained Earnings
B) Common Stock
C) Accounts Payable
D) Dividends
Answer: C

48. The cost of goods sold is found on which financial statement?
A) Balance Sheet
B) Income Statement
C) Statement of Retained Earnings
D) Statement of Cash Flows
Answer: B

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WhatsApp:
https://whatsapp.com/channel/0029VaODheTDp2Q8YVcoON2p

Second WhatsApp channel
channel on WhatsApp:
https://whatsapp.com/channel/0029VafvOcy90x2tPbUaX02I

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https://youtu.be/-AMj4iNz0UE?si=hg29pJZ1kujzg57J

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Passing criteria of this course

Letter Grade	Grade Points	Equivalent Percentage
A+	4.00	90-100
A	4.00	85-89
A-	3.66 - 3.99	80-84
B+	3.33 - 3.65	75-79
B	3.00 - 3.32	71-74
B-	2.66 - 2.99	68-70
C	2.00 - 2.65	61-67
D	1.00 - 1.99	50-60
F	0.00	00-49

Passing Criteria for a Course:

The passing criteria is defined in such a way that it ensures the student shall be consistent in his studies throughout the semester.
Therefore, for passing a course/subject, student shall fulfill the following:
a) Secure minimum 20% score in Formative Assessments/Mid terms
b) Secure minimum 20% score in Final Term Examinations.
c) Secure at least 40% marks in aggregate while fulfilling the above requirements

Course Selection and Credit Hours

Q: How do I select courses when the course selection is open?
A: Follow these steps:
1. Check the credit hours allowed by your university (e.g., 21, 18, or 15 credit hours).
2. Each subject typically has 3 credit hours.
3. Divide the total allowed credit hours by 3 to determine how many subjects you can select.
Examples:
21 credit hours = 7 su18 credit hours = 6 subjects
15 credit hours = 5 subjects
Remember, the university may allow different credit hours for each student, so check your specific allowance.
By following these steps, you can make informed decisions during course selection and manage your credit hours effectively.

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Advice

Hmaesha relax ho ke parha kryn panic mat hua kryn apky parents ky bohat khawab hoty hn wo pura krny ki puri koshish kea kryn kbi b ksi pe depend na kea kryn apko bs ak insan success kr saqta ha or wo insan ap khud hn apky elawa koi nahe ap bs koshish kryn Allah pak pe strong yakeen rakha kryn or mehnat krke sb Allah ke hawaly kr dea kryn everything is possible be brave be strong stay blessed
Hum insan hamesha moat se darty or bhagty hn or moat se bachny ki koshish krty hn jabke moat ny ana hi ana ha hum

moat se nahe bach saqty humy jahanam se bachny ki koshish krni chaheay hum jahanam se bach saqty hn
Insan ko 3 chezo se dar lagta ha Moat Risk/Dolat Ezat Shohrat Fame

Moat

Humy pta hona chaheay Moat tab ani ha jab Allah chahy us se pehly puri dunya bi ak tararf ho ke apko marna chahy to apka kuch nahe beggar saqti

Risk/Dolat

Risk Dolat sb Allah pak ke hath m ha puri dunya ak taraf b ho jay na apsy apka risk cheen saqti ha na de saqti ha Ye sirf ALLAh pak ky hath m ha

Izat Zilat shohrat Fame

Izat Zilat Sirf Allah de saqty hn puri dunya mel ke b apko zra brabr b demage nahe kr saqti Agr ALLAH

Apko izat dena chahay to puri dunya ak tararf ho ke b apko 1% b nuksan nahe pohancha saqti
Phr Dar ks bat ka ??????????????
Be brave be strong Just put your trust To ALLAH
Hamesha Confident or himat se raho kbi ksi k samne mat jhuko puri dunya mel k b apka kuch b nahe beggar saqti

ZB
MY REQUEST FROM ALL OF YOU

ZB Request from All of you My family
Mjy ap sbki help or support ki zarort ha or wo ye k hum sb Mel kr Allah ka Quran ki Urdu translation logo tak pohanchy or Quran ko samjna asaaan kryn dosro k leay sb tak Allah ka Quran pohanchy it's my compaign hum log 70+ age k ho jaty hn phr b hmy namaz tak ki translation nahe pta hoti k hum Allah pak se

Kya Dua kr rhy hn so hum youngster's ko Mel kr puri takat or energy ke sath Allah ka Quran spread krna ha
Hum puri Koshish kr rhy hn k hum sb Mel k Quran ki translation or most important topics ko maximum share kry with translation hmara maksad Quran ko spread krna ha be a part of us
m apni pocket se ye sb kr rha ho Allah ka Quran spread krny k leay apne or mene sbny Marna ha ak din to q na Allah k leay Kuch kryn apni energies apni power ko bajay negative use krny k Allah k leay invest kryn khud ko be a part of us
Agr m 23 ki age m apny sare sources use kr rha ho pocket se heavy amounts give away kr rha ho Quran spread krny k leay to ap just share to kr saqty hn itna e krdyn

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Agr ap mujsy contact na kr sky too b ap jo b hn jaha bi hn waha Allah ka quran pheelay zada se zada with urdu translation jitni himat ha utna share kryn

MY Family

ust Relax and focus! Exams are not difficult. Put in your 100% effort and trust in Allah.

AL-Quran

"And indeed, with hardship comes ease." (Quran 94:5)
Remember, I'm here to support you! Stay brave and strong!"

May Allah bless you